

THE GYM BUSINESS

PREMIUM BOUTIQUE ECONOMICS

PLAYBOOK

Unit economics, cost structure, break-even and payback for a premium boutique gym in Bangalore.
Benchmarks: Planet Fitness FY25 Annual Report, Life Time FY25, Cult.fit FY25 (RoC filings). Boutique P&L; is a constructed model based on stated assumptions. June 2026.

This playbook breaks down how a premium boutique gym actually makes money. The surrounding market and benchmark figures are drawn from listed and disclosed operators. The boutique profit and loss model itself is constructed from industry-standard assumptions, clearly stated, because a single private boutique does not publish audited unit economics. Treat the model as a well-reasoned planning framework, not audited fact, and adjust every input to your own site.

THE MARKET AND TWO MODELS

Sources: Planet Fitness, Life Time, Cult.fit

The Indian Fitness Market

Metric	Figure	Source
India commercial fitness market (2024)	~USD 1.94 billion	Industry estimate, cited FY26
Projected market (2030)	~USD 4.5 billion	~15% CAGR
Cult.fit operating revenue (FY25)	Rs 1,215 crore	RoC filings, up 31% YoY
Cult.fit net loss (FY25)	Rs 483 crore	Narrowed from Rs 888 cr in FY24
Cult.fit fitness subscription revenue	Rs 889 crore	73% of operating revenue

Note: Cult.fit is a hybrid platform (gyms, app subscriptions, and D2C apparel), not a pure boutique gym. It is shown here to frame market scale and the reality that even the largest Indian fitness operator remains loss-making while chasing scale. It is not a like-for-like boutique benchmark.

Two Opposite Models: Volume vs Engagement

	Low-Price / Low-Usage	Premium / High-Engagement
Example (listed)	Planet Fitness	Life Time
Monthly revenue per member	~USD 19.51 (dues)	~USD 882 (per membership)*
Members per location	6,000-10,000+	Far fewer, high touch
Member visits per month	~4-6 (low use)	High, daily destination
Economic engine	Volume + non-attendance	Engagement + in-centre spend
Where a boutique sits		This end of the spectrum

The single most important insight in the gym business: the low-price model is mathematically built on members NOT showing up. Planet Fitness holds 6,000 to 10,000+ members per club where the average member visits only 4 to 6 times a month. A premium boutique is the opposite bet entirely: far fewer members, each paying much more, each expected to show up often. You are not selling cheap access to a crowd. You are selling a high-touch result to a few. That single choice drives every number in the rest of this playbook.

*Life Time average revenue per membership is an annualised centre figure, not directly comparable to Planet Fitness monthly dues. Shown to illustrate the model gap.

MEMBER AND UNIT ECONOMICS

Constructed model:
premium boutique,
Bangalore

Revenue Build-Up (Assumptions Stated)

Revenue Stream	Assumption	Monthly Value
Core memberships	300 members x Rs 3,500/mo avg	Rs 10,50,000
Personal training (PT)	45 clients x Rs 12,000/mo avg	Rs 5,40,000
Group / specialty classes	Add-on packs, ~40 buyers	Rs 1,20,000
Supplements / cafe / merch	Ancillary in-centre spend	Rs 90,000
TOTAL MONTHLY REVENUE		Rs 18,00,000

Personal training is the real margin engine, not memberships. In this model memberships are 58% of revenue but carry the full fixed cost of the space. PT is 30% of revenue on far higher margin because it is sold per session against a trainer cost. Boutiques that survive push PT attach rate hard: the membership gets the person through the door, PT is where the money is made. A boutique running on memberships alone rarely clears break-even.

Per-Member Math

Metric	Value	Note
Blended revenue per member / month	~Rs 6,000	Total revenue / 300 members
Average membership ticket	Rs 3,500/mo	Premium Bangalore boutique range
PT attach rate	~15% of members	45 of 300 buy PT
Target member capacity	300-350	Boutique caps deliberately for experience

COST STRUCTURE

As a percentage of revenue

Monthly Operating Costs (% of Revenue)

Expense Head	% of Revenue	Monthly (on Rs 18L)	Notes
Rent + CAM	18-22%	Rs 3.2-4.0L	Prime Bangalore high street/mall
Trainer + floor staff salaries	22-28%	Rs 4.0-5.0L	Largest cost. PT trainers + floor.

Front desk + management	6-8%	Rs 1.1-1.4L	
Equipment lease / depreciation	8-10%	Rs 1.4-1.8L	Amortised over 5-7 yrs
Electricity + utilities	8-11%	Rs 1.4-2.0L	AC + equipment power. Unusually high.
Marketing + sales	6-9%	Rs 1.1-1.6L	Higher in launch phase
Maintenance + housekeeping	4-5%	Rs 0.7-0.9L	
Admin + software + misc	3-4%	Rs 0.5-0.7L	CRM, access, accounting
TOTAL OPERATING COST	~75-85%	Rs 13.5-15.3L	
OPERATING MARGIN	~15-25%	Rs 2.7-4.5L	At healthy 300+ member occupancy

The two costs that quietly kill gyms are salaries and electricity. Together they can eat 30 to 38% of revenue. Air conditioning a large space plus running equipment gives gyms one of the highest utility loads of any retail business. A boutique that under-prices memberships to fill the floor often finds these two fixed costs turn an apparently full gym into a loss-making one. Margin lives in pricing power and PT mix, not in cramming in more low-paying members.

BREAK-EVEN AND PAYBACK

The maths that decides survival

Upfront Investment (Premium Boutique, ~3,500-5,000 sqft)

Capex Head	Amount	Notes
Interiors + fitout	Rs 90L-1.4Cr	Flooring, mirrors, lighting, locker rooms
Equipment (cardio, strength, free)	Rs 60L-1.0Cr	Premium imported brands cost more
Security deposit (rent)	Rs 18-30L	6-10 months rent
Branding, launch, pre-opening	Rs 12-20L	Marketing, hiring, soft launch
Working capital buffer	Rs 20-30L	3-4 months runway to ramp members
TOTAL UPFRONT CAPEX	Rs 2.0-3.2 Cr	Premium boutique, Bangalore

Break-Even and Payback

Metric	Value	Basis
Monthly fixed cost (rent, salaries, base ops)	~Rs 10-12L	Costs that exist even at low occupancy
Break-even member count	~190-210 members	At blended Rs 6,000/member incl. PT
Break-even as % of capacity	~60-65%	Of 300-350 target
Time to reach break-even	~9-15 months	Depends on launch and location
Operating profit at full occupancy	~Rs 2.7-4.5L/mo	Rs 32-54L/year
Payback on Rs 2.0-3.2Cr capex	~4-6 years	Post break-even, at healthy occupancy

The honest verdict: a premium boutique gym is a real business, not a quick one. Break-even needs roughly 60-65% of target membership, which typically takes 9 to 15 months to reach. Payback on capex runs 4 to 6 years at healthy occupancy. This is a patient, operations-heavy business where the winners compete on member results, retention, and PT attach, not on discounting memberships. Anyone promising faster payback is usually under-counting salaries, electricity, or the ramp time to fill the floor.

Five Levers That Decide Whether a Boutique Gym Survives

One. Personal training attach rate. Memberships pay the rent. PT pays the profit. Every point of PT attach rate moves the P&L; more than ten new low-ticket members.

Two. Retention over acquisition. A boutique lives on members who stay 18-24 months, not on a churn-and-burn sign-up machine. Retention is cheaper than acquisition and it compounds.

Three. Pricing discipline. The instinct to discount to fill the floor is what quietly kills premium gyms. Salaries and electricity are fixed. Under-pricing memberships just fills the room with members who do not cover cost.

Four. Location and catchment. A premium boutique needs a dense, high-income catchment within a short drive. The wrong location cannot be fixed by good training.

Five. Trainer quality and stability. Members follow trainers. High trainer churn drives member churn directly. Retaining good trainers is a retention strategy, not just an HR one.